CHAPTER 8

# SOURCES OF BUSINESS FINANCE

**CHAPTER ESSENCE AT A GLANCE:**
Classify enterprise financial capital by period, ownership, and origin: Owner funds (equity, preference, retained earnings, ADRs and GDRs) versus Borrowed funds (debentures, bank loans, trade credit, ICDs).

## 4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Financial Requirements Dualism:** Fixed capital finances long-term assets (plant, machinery, land) for enduring production; Working capital finances day-to-day current operations (inventory, debtors, wages).

• **Owners' Funds vs Borrowed Funds:** Owners' funds (equity, retained earnings) represent permanent risk capital without fixed financial repayment; Borrowed funds (debentures, loans) require fixed interest servicing.

• **Retained Earnings (Ploughing Back of Profit):** Internal self-financing reinvesting undistributed corporate profits into modernization without issuing fresh equity or incurring external debt.

• **International Financing Instruments:** Global Depository Receipts (GDRs) and American Depository Receipts (ADRs) allow Indian corporations to raise equity capital from international institutional investors.

## ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Total Enterprise Capital} = \text{Fixed Capital (Long-Term Assets)} + \text{Working Capital (Current Cycle)}$$

*Enterprise Capital Requirements Allocation*

$$\text{Trade Credit Finance} = \text{Credit Period Extended by Suppliers} \quad [\text{Spontaneous Financing}]$$

*Short-Term Working Capital Spontaneous Debt*

$$\text{Retained Earnings Internal Accrual} = \text{Net Profit After Tax} - \text{Dividends Distributed to Shareholders}$$

*Corporate Self-Financing Internal Capital Flow*

$$\text{ADR / GDR Arbitrage} \Longleftrightarrow \text{Domestic Shares Held by Custodian Bank} \rightarrow \text{Depository Receipts Traded Overseas}$$

*Cross-Border Equity Depository Mechanism*

## CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Equity shareholders have voting rights and control over management, while preference shareholders have fixed dividend priority without ordinary voting rights.

• **Alert:** Interest paid on debentures and bank loans is tax-deductible as a business expense, whereas dividends paid to equity and preference shareholders are distributed from post-tax profits.

• **Alert:** Trade credit is a spontaneous source of working capital finance that arises automatically during the normal course of purchasing merchandise inventory.

## HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

**1. Distinguish between Fixed Capital and Working Capital requirements of an enterprise. [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Fixed Capital:** Capital invested in long-term non-current assets like land, factory buildings, and machinery for enduring production capacity. **[1 Mark]**

• **Working Capital:** Capital required to finance day-to-day operating expenses, holding inventories, and granting credit to trade debtors. **[1 Mark]**

**2. What is Ploughing Back of Profits (Retained Earnings)? State one major merit. [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Definition:** An internal financing method where a portion of net profit is retained in the business instead of being distributed as dividends to shareholders. **[1 Mark]**

• **Merit:** It is a permanent source of funds that creates zero explicit financial charges, interest liabilities, or dilution of control. **[1 Mark]**

**3. Distinguish between Equity Shares and Preference Shares across three parameters. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Dividend Return:** Equity dividend fluctuates with profit levels; Preference dividend is paid at a fixed predetermined rate. **[1 Mark]**

• **Repayment Priority:** Preference shares have priority over equity in receiving dividends and repayment of capital upon winding up. **[1 Mark]**

• **Voting Rights:** Equity shareholders enjoy full voting rights and executive control; preference shareholders carry zero voting rights in normal circumstances. **[1 Mark]**

**4. Explain Debentures as a source of long-term borrowed finance. State two merits from the company's viewpoint. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Concept:** Long-term debt instruments issued under company seal promising fixed periodic interest and redemption at maturity. **[1 Mark]**

• **Merit 1 (No Dilution of Control):** Debentureholders have no voting rights; hence, ownership and control of existing equity holders remain completely intact. **[1 Mark]**

• **Merit 2 (Tax Deductibility):** Interest paid on debentures is a tax-deductible expenditure, lowering the effective corporate tax liability. **[1 Mark]**

**5. What is Trade Credit? Explain why it is called a spontaneous source of working capital finance. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Definition:** Credit extended by one trader to another for the purchase of merchandise goods and services without immediate cash payment. **[1 Mark]**

• **Spontaneous Character:** It is generated automatically during the normal course of purchasing trade inventory without formal borrowing agreements. **[1 Mark]**

• **Flexibility:** Facilitates inventory procurement to meet seasonal rushes based on supplier goodwill and past track record. **[1 Mark]**

**6. Distinguish between American Depository Receipts (ADRs) and Global Depository Receipts (GDRs). [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Trading Jurisdiction:** ADRs are traded exclusively on American stock exchanges (e.g. NYSE, NASDAQ); GDRs are traded on European and global exchanges (e.g. London, Luxembourg). **[1.5 Marks]**

• **Investor Base:** ADRs can be purchased only by American citizens and institutions; GDRs can be subscribed by institutional investors across the world. **[1.5 Marks]**

**7. Classify the sources of business finance on the basis of: (a) Period (Long-term, Medium-term, Short-term), and (b) Ownership (Owners' funds, Borrowed funds). [Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **(a) Period Classification:** Long-term (> 5 years: Equity shares, preference shares, debentures, retained earnings); Medium-term (1 to 5 years: Commercial bank loans, public deposits, financial institution loans); Short-term (< 1 year: Trade credit, factoring, commercial paper, bank overdraft). **[2 Marks]**

• **(b) Ownership Classification:** Owners' Funds (Equity share capital, preference share capital, retained earnings, reserves, ADRs and GDRs); Borrowed Funds (Debentures, bank loans, financial institution borrowings, public deposits, inter-corporate deposits). **[2 Marks]**